



GROWING TOGETHER



Investor Presentation

February 2012

Safe Harbor



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Management



Off-highway tyre Solutions

Balkrishna Industries...

- ◉ India's leading exporter of "Off-Highway Tires"
- ◉ Widest and comprehensive product portfolio of over 1900 SKUs
- ◉ 144,000 MTPA current achievable production capacity
- ◉ Market presence in more than 120 countries
 - Europe, America, Asia Pacific, Middle-East, ANZ etc
- ◉ Exponential Revenue & Earning growth

Under the able leadership of ...

Mr. Arvind Poddar - Vice Chairman & Managing Director

- Promoter of the Company
- In last 5 years, Company grew exponentially with around 30% CAGR
- Fuelling growth : Capacity creation of over 60% underway
- Moving towards USD 1 billion revenue by 2015

The Core Team Executing the Vision

Mr. Anurag Poddar

Executive Director

Mr. B K Bansal

Director - Finance

Mr. Rajiv Poddar

Executive Director

Mr. D M Vaidya

Director - Technical

Mr. M S Bajaj

Sr. V P - Commercial

Consistently growing in all areas of business

	Parameter	FY06	FY11
Finance*	Revenue (Rs. Crs)	620	2,211
	Net Profit (Rs. Crs)	69	195
	Net Worth (Rs. Crs)	288	861
Production	No. of plants	2	3
	Achievable Production Capacity (MT)	48,750	1,26,000
	Production (MT)	42,500	111,545
Marketing	Markets being Serviced	75	120
	No. of Distributors	~ 120	> 200
	No. of Sales Office	1	4

* Consolidated

Global Markets - Local Production

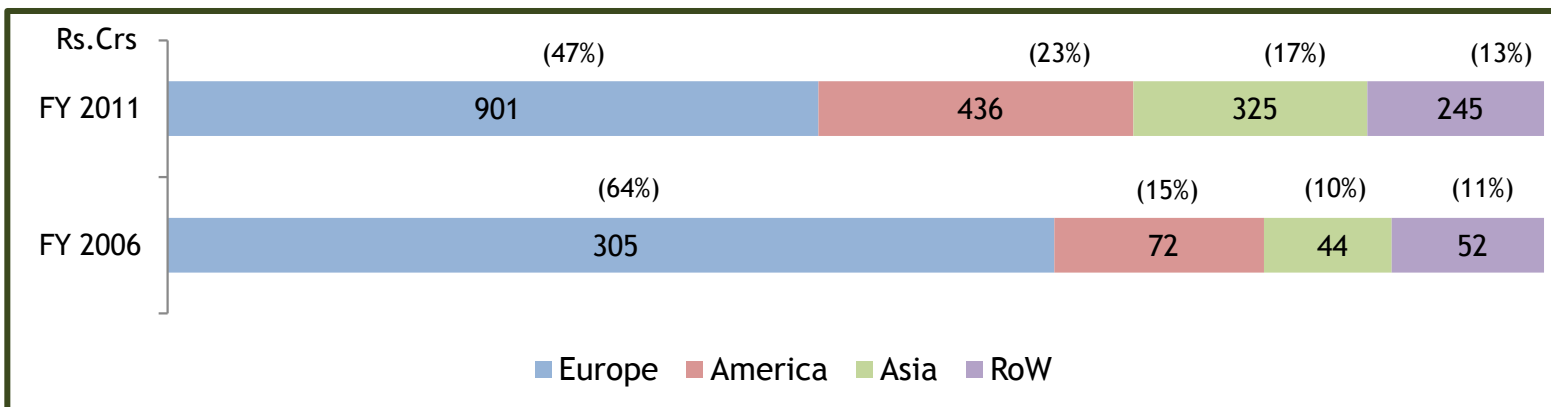


Off-highway tyre Solutions

Presence in over 120 countries...

Demand drivers in Key Continents

Europe	Americas	Asia Pacific
- Large & Mechanized farms - Large replacement market	- Agriculture & Mining sector growing - Large Farm-Equipments trends - Fast growing economies such as Brazil, Argentina, Colombia, Costa Rica etc	- Agriculture & Infrastructure booming - Moving from traditional to larger sized equipments



Expanding by higher penetration & geographical diversification

With various “Off-Highway Tires (OHT)”...

Agriculture (66%)



- Tires for Tractors, Trailers, Farm Equipment, Forestry
- Specifically designed as per farm requirement
- Tractor Radial Tires under brand “Agrimax”

OTR (29%)



- Industrial, Construction & Earth Mover tires
- Tires for articulate dump trucks, loaders, underground mines, port application
- Steel Radial OTR tire under brand “Earthmax”

Others (5%)

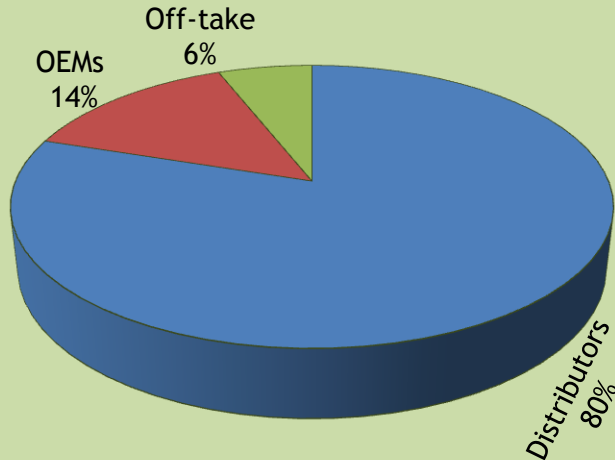


- Tires for Sports, Utility vehicles such as Golf-cart, Lawn & Garden tires
- Tires for All Terrain Vehicles (ATV) with puncture resistance

One Stop -Shop for all off highway tires solution

Through various sales channels

94% Sales under 'BKT' brand



Distributors

- ◉ Caters Replacement Market
- ◉ Strong Global Network
 - Over 200 Distributors in 120 countries
- ◉ Expanding market reach by
 - Increasing penetration of existing distributors
 - Adding new distributors

OEMs

- ◉ Supplier to leading OEMs such as,

▪ Volvo	▪ BOMAG
▪ John Deere	▪ SAME
▪ CNH	▪ Ferrari
▪ Class	▪ JCB

Off-Take

- ◉ Supplier to leading Global Tire manufacturers - labeled under their brand
 - Reaffirms Global Quality Standards

Replacement Market lends stability in turbulent times

Existing manufacturing facilities...

- ◉ State of the art tire manufacturing plants at
 - Bhiwadi & Chopanki in Rajasthan
 - Aurangabad, Maharashtra
 - In-house Mould Plant, Dombivali, Maharashtra
- ◉ Achievable Production Capacity at 144,000 MTPA
 - Wide product range of over 1900 SKUs
 - Frequent change over in production cycle
 - Large Variety - low volume restricts optimal capacity utilization
 - 12,000 MTPA capacity addition in existing plants in FY 13 through debottlenecking



Greenfield expansion at Bhuj, Gujarat

**90,000 MT
Capacity**

- Greenfield expansion of 90,000 MT Achievable Production Capacity with 20 MW Captive Power Project
- Production of entire range of off highway products with emphasis on radial products
- Commercial Production to commence from Q2 FY13
- Civil & Infrastructure work progressing as per schedule
- Installation of equipments commenced at Site
- Estimated Project Cost : Rs. 1,200 Crs.
 - Incurred till December'11 : Rs. 400 Crs.



Enhancing scope of Bhuj project

30,000 MT Capacity Addition

- Addition of 30,000 MT Achievable Production Capacity at Bhuj
- Production of mainly large and ultra large specialty OTR tires emphasizing on all steel radial tires
 - Product with higher realization
 - Product range provides competitive advantage to BKT
- To be commissioned by Q3 FY14
- Estimated Project cost : Rs 400 crs

Rubber Mixing Units

- Additional rubber mixing units to be installed at Bhuj
 - Caters major requirements of Bhiwadi & Chopanki plant
- Improvement in operational efficiencies and synergies
 - Lower mixing cost due to captive power
 - Reduction in Transportation Cost
- Estimated Project Cost : Rs. 100 Crs

Employee Township for entire Bhuj Project

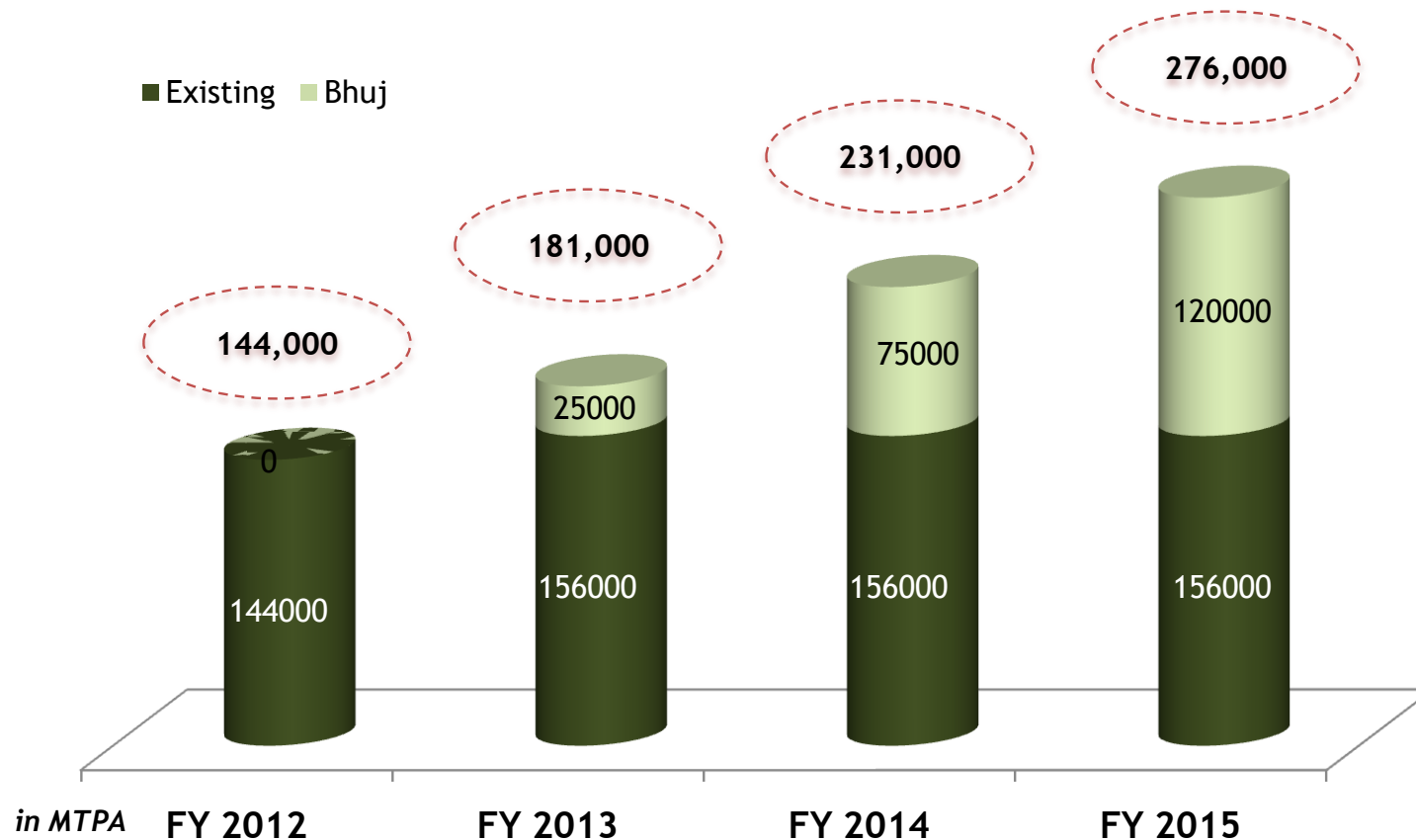
- Housing colony and common infrastructure for employees
- Estimated Project cost : Rs. 100 Crs.

Revised scope of expansion at Bhuj

	Rs. Crs.	~ Project Cost	Remarks
Project Cost	Original 90,000 MT	1,200	Rs. 400 Crs. incurred till Dec 11
	Addition of 30,000 MT	400	
	Additional Rubber Mixing Units	100	
	Housing Colony	100	
	Total Project Cost	1,800	
Financed bv	ECB Loan of USD 275 mn	1,300	USD 175 mn drawn in Q1 FY12, USD 100 mn to be tied up
	Internal Accruals	500	
	Total Funding	1,800	
Phasing	FY 2012	700	Rs. 400 crs. spent till Dec 11
	FY 2013	700	
	FY 2014	400	

120,000 MTPA : Achievable Production Capacity at Bhuj

Achievable Production Capacity built-up

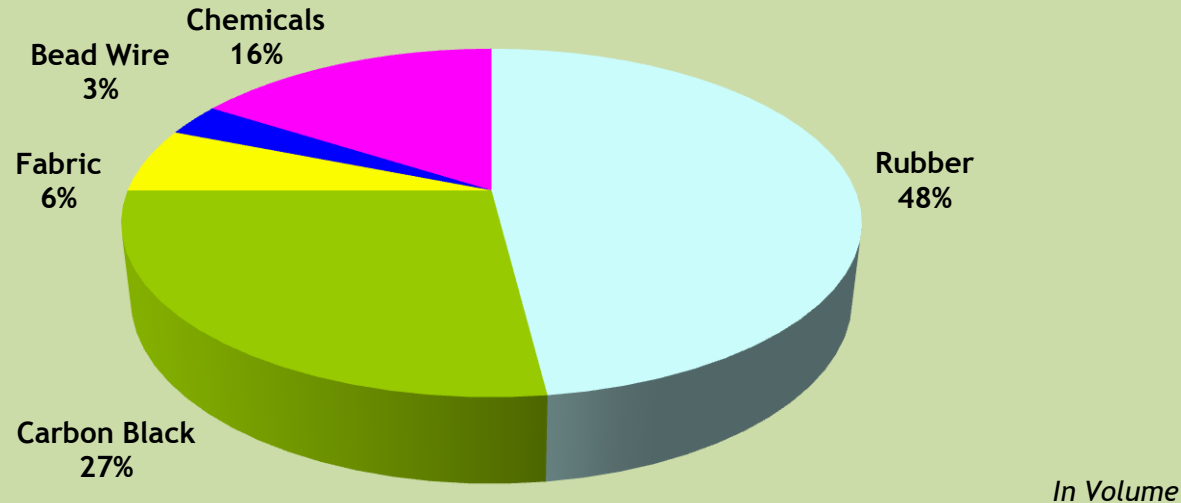


276,000 MTPA : Achievable Production Capacity by FY 2015

Debottlenecking to add 12,000 MTPA capacity in existing plants in FY 13

Key Raw materials

Raw material composition



- ◉ **Rubber sourced from**
 - India, Indonesia, Malaysia & Thailand - Major Rubber Producing countries
- ◉ **Closer to Rubber producing countries gives edge over global peers**
 - Lower logistic expenses
- ◉ **Flexibility in sourcing from India or Import**
 - No impact of Import Duty being major exporter
- ◉ **Other materials - Synthetic Rubber, Carbon Black, Fabric & Chemicals**
 - Derivatives of Crude Oil

Key Competitive Advantages



Off-highway tyre Solutions

Key Competitive Advantages

Low Operating Cost ... v/s ... Global Peers

- Labor intensive business, however India manufacturing leads to 1/5th labor cost compared to global peers
- Lower selling & distributing expenses due to sales by **distributor network**

Faster Mind to Market Product Roll-out

- Strong R&D Team for product development
- In-house mould facility leads to faster conversion

Flexible Plant Operation

- Maximize utilization of entire basket of 1900 SKUs
- Ensures timely execution of customer's order

Inter- Changeability of production amongst various plants

- Helps production planning to achieve optimum output
- Facilitates container dispatch of varied tires

The Radial Advantage

- Largest manufacturer of full range of Radial Tractor Tires located in a low-cost region
- Globally few manufacturers with concentration in USA & Europe
- Addition of capacity makes it a preferred global partner for radial tires

Growth Strategies



Off-highway tyre Solutions

Sales strategy to back capacity creation

A

Increase penetration in current markets

- Increasing coverage through current distributors
- Appointment of new distributors to cater all segments

B

Increase exposure with OEMs

- Developing newer products for OEMs
- Expanding the OEMs base

C

Development of new emerging markets viz. Russia & CIS

- Demand drivers are stable economy growth & major infrastructure developments in highway, ports, mining sector
- Establishing distributor network

D

Enhancing Product Portfolio

- All Steel Radial Mining Tires
- Agri-Radial Tires
- Special Puncture-Proof Defense Tires

India business opportunity unfolding ...

- ◉ **Presently, ~ 9% of Revenue from India**
 - Mainly from OTR Segment
 - Tie-up with OEMs like JCB, Escorts, L&T Case, SDF, John Deere, CNH
- ◉ **Investment in Indian Infrastructure growing rapidly**
 - Earthmoving & Construction equipment (ECE) industry to grow five fold from USD 2.3 billion to USD 12 - 13 billion by 2015
- ◉ **Agriculture Sector in India witnessing transformation**
 - India moving towards mechanized farming which improves productivity
- ◉ **Well positioned to capture growing India market**
 - Tying-up with new OEMs
 - Establishing distribution network

Financial Highlights



Standalone - Tire Business : Financial Highlights - Q3 FY2012



Rs.Crs	Q3 FY12	Q3FY11	YoY %	Q2 FY12	QoQ%
Revenue	759	496	53.0%	678	11.9%
Raw Material	453	302		423	
Employee Expenses	18	13		17	
Other Expenses	144	93		113	
EBITDA	144	88	64.8%	125	16.0%
<i>EBITDA Margin</i>	<i>19.0%</i>	<i>17.8%</i>		<i>18.4%</i>	
Exchange (Gain)/Loss	10*	2		6	
Interest & Finance Charges	5	11**		4	
Depreciation	21	19		21	
PBT	108	57		94	
Tax	35	18		31	
PAT	73	38	97.4%	63	19.0%
<i>PAT Margin</i>	<i>9.6%</i>	<i>7.7%</i>		<i>9.3%</i>	

* Increase in Exchange (Gain) / Loss on account of difference in foreign exchange rates on all foreign currency denominated accounts outstanding at the year/period end

** Includes Rs.8 Cr Redemption Premium on FCCB

Standalone - Tire Business : Financial Highlights - 9M FY2012



Rs.Crs	9M FY12	9M FY11	YoY %	FY11
Revenue	2,021	1,430	41.3%	2,012
Raw Material	1,249	857		1213
Employee Expenses	52	38		55
Other Expenses	346	264		375
EBITDA	375	271	38.0%	369
<i>EBITDA Margin</i>	<i>18.6%</i>	<i>18.9%</i>		<i>18.4%</i>
Exchange (Gain)/Loss	16*	-1		1
Interest	13	18**		21*
Depreciation	61	56		74
PBT	285	199		275
Tax	92	65		89
PAT	193	134	44.0%	186
<i>PAT Margin</i>	<i>9.5%</i>	<i>9.3%</i>		<i>9.2%</i>

* Increase in Exchange (Gain) / Loss on account of difference in foreign exchange rates on all foreign currency denominated accounts outstanding at the year/period end

** Includes Rs.8 Cr Redemption Premium on FCCB

Annual Financial Highlights : Tire Business

Profitability	Rs. Crs.	FY 2007	FY 2008	FY 2009	FY 2010	FY 2011
	Revenue	749	1,006	1,257	1,413	2,012
	YoY Growth	46%	34%	25%	12%	42%
	EBITDA	176	232	202	396	369
	EBITDA Margin	23.5%	23.1%	16.1%	28.0%	18.3%

- Continuous Revenue Growth despite global credit crisis
- Margin declined mainly due to
 - Sudden & Exponential price hike in input costs
 - Forex impact

- Exceptional year for higher earning margins mainly due to
 - Reversal in input costs

Guidance for FY 2012 : Sales of Tires ~ 130,000 - 135,000 MT

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